

the “naïve extrapolation” investment strategies identify stocks that underperform the market. Value investors take positions contrarian to these naïve extrapolation strategies, overinvesting in value stocks with poor historical and expected growth, and underinvesting in, or outright shorting, the glamour stocks with good historical and expected performance.

Using data from 1968 to 1990, Lakonishok et al. tested whether a simple contrarian value investment strategy—one that bet against stocks with high expectations (the glamour stocks), and bet for the stocks with poor expectations (the value stocks)—produced superior returns. By examining the returns for stocks globally from 1980 to 2013 we can replicate and extend Lakonishok et al.’s research.²³ We examined returns in the following 23 developed-market countries: Australia, Austria, Belgium, Canada, Denmark, Finland, France, Germany, Greece, Hong Kong, Ireland, Italy, Japan, Netherlands, New Zealand, Norway, Portugal, Singapore, Spain, Sweden, Switzerland, the United Kingdom, and the United States. We excluded the smallest 50 percent of stocks by market capitalization in each country to remove micro capitalization stocks. Each stock in the universe was sorted according to its ratio of market price-to-book value, cash flow, and earnings. The sorted stocks were then divided into five quintile portfolios (each portfolio containing 20 percent of the stocks by number). We then tracked quintile-by-quintile annualized performance, calculated in U.S. dollars, for the five years after the selection date. Figure 5.5 shows the average annualized five-year returns to each quintile portfolio for each price ratio.

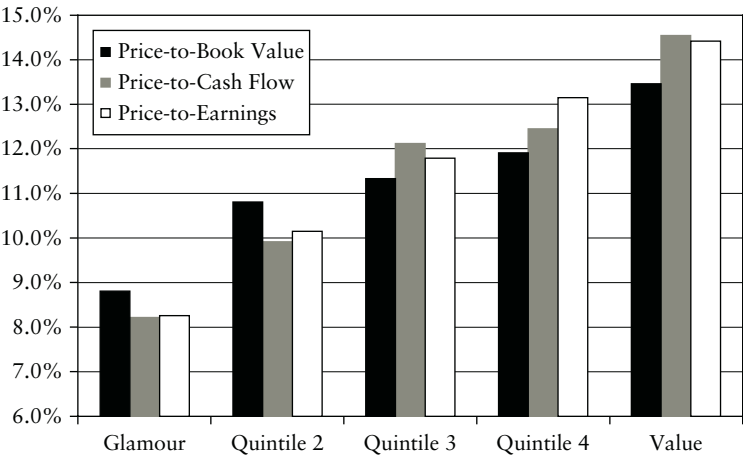


FIGURE 5.5 Global Markets Average Annualized Five-Year Returns for All Price Ratios (1980 to 2013)

Source: Eyquem Investment Management LLC.